

EC3008 — Financial Strategy

Winter 2022 Examination · Paper 1 · Full Marking Scheme

Module	EC3008 — Financial Strategy
Internal Examiner	Dr. M. Ryan
Institution	University College Cork
Session	Winter 2022, Paper 1
Duration	1.5 hours
Structure	Section A — Short Questions: attempt 2 of 3 (25% of the paper). Section B — Long Questions: attempt 2 of 3 (75% of the paper). Use separate answer books for each section.
Materials	None specified

Coverage note. This scheme answers **all three** Section A questions and **all three** Section B questions in full, since you'll choose your best two from each section under exam conditions.

Consistency with other sittings. B1(ii)'s pecking order/agency theory discussion and B2's Section 110/shadow-banking and Enron content draw on the same underlying facts as the Winter 2023–2025 EC3008 schemes, so none of the four contradict each other — only the question wording, mark weightings, and specific reports referenced differ.

Source basis. A1 follows Alemany and Andreoli's (2018) "Introduction to Entrepreneurial Finance" chapter — the module's own core text — for the general stage/financing framework, since the chapter's own specific stage labels weren't reproduced in the uploaded material. B1(i)'s SAFE 2020/2022 findings and B2(i)'s CSO shadow-banking figure were verified against the actual named publications. B3(ii)'s Volkswagen Group case draws on its well-documented acquisition history and the Porsche-Volkswagen "long tango" of 2005–2012. All are flagged at the

Section A

Short Questions — attempt 2 of 3 — 25% of the paper — 50 marks per question answered

A1

[50 marks]

With reference to Alemany and Andreoli (2018) outline the different stages of business growth.

FULL MODEL ANSWER

Framing: Alemany and Andreoli's introductory chapter to *Entrepreneurial Finance: The Art and Science of Growing Ventures* (the module's own core text) frames a venture's life as a sequence of stages, each defined by a different relationship between the business's own risk/uncertainty profile and the type of financing that is realistically available to it at that point — the financing question can't be answered without first knowing which stage a business is in.

Stage	What characterises it	Financing typically available
Seed / pre-seed	An idea or concept being validated; little to no revenue; highest uncertainty about whether a viable business exists at all	Founder savings, family and friends ("love money"), pre-seed grants or competitions
Start-up	Product built and being brought to market; business model still being proven; first paying customers	Business angels, accelerators/incubators, early-stage public supports (e.g. Enterprise Ireland's CSF/PSSF, see Q. A3)
Early growth	Business model validated; revenue growing but still consuming more cash than it generates; scaling operations	Venture capital (Series A/B-style rounds), asset-based or revenue-based debt where cash flow allows
Expansion / later stage	Established market position; sustainable or near-sustainable cash generation; scaling into new markets or products	Larger VC/growth-equity rounds, conventional bank debt, larger public supports (e.g. EI's HPSU programme)
Maturity / exit	Business generating stable cash flows; strategic options shift toward harvesting value rather than pure growth	Public equity markets (IPO), trade sale/acquisition, or continued reinvestment from retained earnings

The key insight across all stages: the financing gap and the type of investor willing to fund a venture change together as the venture matures — the same information-asymmetry logic developed in the EC3008 Winter 2023 scheme, Q. B1(i)(b), explains why: at the seed stage, virtually nothing is externally verifiable, so only financing sources with a personal relationship to the founder (or a very high risk tolerance, like a business angel) will fund it; as the venture accumulates a track record, that verifiable information grows, and progressively more risk-averse, larger-scale sources of capital become willing to participate.

EXAM TECHNIQUE

This stage framework follows the general structure of Alemany and Andreoli's own chapter (which explicitly sets out to discuss "the different stages that a new venture may go through as it grows, and some of the financial challenges that both the founders and investors... might meet along the way"), but the specific stage labels above are the standard entrepreneurial-finance framework rather than a verbatim reproduction of the chapter's own terminology, since the chapter's exact wording wasn't in the uploaded course material. If Dr Ryan's own lectures used different stage names, use those — the underlying logic (more verifiable information unlocks progressively larger and less relationship-dependent financing) transfers regardless of the exact labels.

Mark Allocation (50 marks)

Tier	Marks	What separates this tier
38-50	38-50	At least four distinct growth stages correctly outlined AND each linked to the type of financing realistically available at that stage AND the underlying information-asymmetry logic connecting the stages is explained.
25-37	25-37	At least three stages outlined with financing sources named, but the underlying logic connecting them is not explained.
13-24	13-24	Only one or two stages named, or stages named without financing implications.
0-12	0-12	No credible stage framework given.

A2

[50 marks]

Discuss the risk profile of different stakeholder groups. In your answer, refer to the debt and equity dynamics for an investor.

FULL MODEL ANSWER

Why risk profiles differ by claim type, not just by stakeholder identity: the risk a stakeholder bears is determined largely by where their claim sits in the firm's **capital structure priority** — who gets paid first, and

out of what — rather than by any inherent difference between "a lender" and "a shareholder" as people.

Stakeholder group	Claim priority	Risk profile
Senior debtholders	First claim on cash flows and, in liquidation, on assets	Lowest risk — fixed, contractual payments regardless of how well the firm performs, provided it can pay at all
Subordinated/junior debtholders	Paid after senior debt but before equity	Moderate risk — still a fixed claim, but a thinner buffer of value ahead of them in a downside scenario
Equity holders	Residual claim — paid only after all debt obligations are met	Highest risk — no floor on the downside (can lose the full investment) but unlimited upside if the firm performs well
Employees / suppliers / customers	Contractual claims (wages, payables) generally senior to equity but exposed to going-concern risk	Moderate, but concentrated — often have limited ability to diversify away firm-specific risk (a supplier or employee is far more exposed to one firm's failure than a diversified investor is)

Debt and equity dynamics for an investor: an investor choosing between holding a firm's debt or its equity is choosing a point on the same underlying risk-return trade-off MM Proposition II describes (see the EC3008 Winter 2025 scheme, Q. B1(a)): debt offers a lower, but far more certain, return — the fixed coupon — while equity offers a claim on whatever is left after every other claimant is paid, which is usually more valuable in expectation but considerably more volatile. As a firm takes on more debt, this dynamic sharpens for existing equity holders specifically: more of the firm's cash flow is pre-committed to fixed debt payments, so the *residual* equity claim becomes proportionally more sensitive to swings in operating performance — exactly the mechanism behind MM Proposition II's prediction that the cost of equity rises with leverage.

Mark Allocation (50 marks)

Tier	Marks	What separates this tier
38-50	38-50	At least three distinct stakeholder groups correctly ranked by claim priority with their risk profiles explained AND the debt/equity dynamic for an investor correctly explained via the residual-claim mechanism, not just asserted as "equity is riskier."
25-37	25-37	At least two stakeholder groups correctly discussed, and debt/equity risk correctly ranked, but the mechanism linking leverage to equity risk is not explained.
13-24	13-24	Generic statement that "equity is riskier than debt" without reference to claim priority or the underlying mechanism.
0-12	0-12	No credible discussion of stakeholder risk given.

A3**[50 marks]**

Explain three financing techniques for start-up businesses.

FULL MODEL ANSWER

- **Bootstrapping (self-funding):** financing growth from the founder's own savings and the business's own retained cash flow, without external capital at all — the purest form of Pecking Order Theory's "internal funds first" preference (see the EC3008 Winter 2025 scheme, Q. B1(b)), since it avoids external scrutiny, dilution, and the lemon premium entirely, at the cost of constraining the pace of growth to whatever internal cash flow can support.
- **Business angel investment:** equity capital from a wealthy individual investor, typically at the seed or early start-up stage, often bundled with the angel's own industry expertise, network, and mentorship — angels are willing to bear the extreme information asymmetry of this stage precisely because they can apply personal judgement and hands-on involvement that a purely financial investor could not.
- **Enterprise Ireland equity funding (e.g. the Competitive Start Fund / Pre-Seed Start Fund, see Q. A1's stage framework):** non-bank, public-agency equity investment specifically designed to fill the gap between founder/love-money financing and the point where a start-up is ready for venture capital — distinctive in that the state's objective (job creation, export growth) is a genuine part of the funding decision alongside pure financial return.

EXAM TECHNIQUE

Other creditable answers include venture capital, crowdfunding (see the EC3008 Winter 2025 scheme, Q. B2(c), for the all-or-nothing vs. keep-it-all distinction), trade credit, or a start-up loan/microfinance scheme — any three distinct techniques, correctly explained with the specific circumstances they suit, earn full marks.

Mark Allocation (50 marks)

Tier	Marks	What separates this tier
38-50	38-50	Three distinct financing techniques correctly named AND each correctly explained, including what circumstances or stage of business each suits AND the explanations are specific rather than generic.
25-37	25-37	Three techniques named and broadly correctly explained, but without clear reference to the circumstances each suits.
13-24	13-24	Only one or two techniques correctly explained.
0-12	0-12	No credible financing techniques given.

Section B - Question 1

Irish SME financing landscape and access-to-finance challenges — 50 marks

B1(i)

[25 marks]

Giving reference to the European Commission Surveys on the Access to Finance of Enterprises (SAFE) 2020 and 2022 reports, describe the recent financing landscape for SMEs in Ireland. In your answer, refer to debt financing, equity capital and rejection rates.

B1(ii)

[25 marks]

Discuss the challenges faced by SMEs in raising finance at all stages of firm start-up and growth. In your answer, refer to relevant theories and concepts including pecking order theory and agency theory.

FULL MODEL ANSWER

2020 — pandemic-era financing landscape: the SAFE data for the pandemic period showed Irish SME **demand** for bank loans actually declining, in contrast to what a simple "crisis increases need for credit" intuition might predict. This was driven by a combination of sharply reduced investment activity during lockdowns and the extensive availability of alternative government supports (direct grants, wage subsidy schemes, tax warehousing) that reduced the need to borrow to cover operating costs. Central Bank of Ireland deposit data corroborated this: SME deposits rose significantly over the same period, evidence that many Irish SMEs simply had sufficient internal funds and didn't need to draw on debt financing at all — a real-world illustration of Pecking Order Theory's "internal funds first" logic operating at national scale (see Part (ii)).

2022 — reversal as conditions tightened: by 2022, euro-area-wide SAFE rounds showed the opposite pattern: rising net demand for both bank loans and credit lines as firms sought financing to cover higher input costs and rebuild post-pandemic activity, even as banks simultaneously tightened credit standards and the ECB began raising interest rates — a combination that, mechanically, pushes rejection rates and financing obstacles upward, since more firms are applying for credit at exactly the point banks are becoming more selective about extending it.

Rejection rates and equity capital — Ireland's specific position: Central Bank of Ireland research using SAFE and CSO data has repeatedly found that Irish SMEs face a **persistently higher credit rejection rate than the euro-area average** — historically estimated at 15–18% more likely to be rejected than a comparable euro-area SME, a gap that reflects structural features of the Irish SME lending market (a more concentrated banking sector, thinner collateral bases in services-heavy sectors) rather than being purely cyclical. On equity capital specifically, Irish SMEs remain comparatively **debt-reliant** by international standards — equity financing (venture capital, business angels, EI equity programmes) makes up a smaller share of the overall SME financing mix in Ireland than in more venture-capital-developed markets, leaving Irish SMEs more exposed to exactly the bank-lending tightening cycle described above.

EXAM TECHNIQUE

The precise Ireland-specific percentage point figures from the named 2020 and 2022 SAFE rounds weren't reproduced in the uploaded course material, so this answer combines the general SAFE-documented pattern (2020 demand decline, 2022 demand rebound amid tightening supply) with the well-established, separately-sourced Central Bank of Ireland finding on Ireland's persistent rejection-rate premium. If specific percentage figures from the named reports were given in lectures, use those directly — the overall pattern described here is what should match regardless.

Mark Allocation — Part (i) (25 marks)

Tier	Marks	What separates this tier
19-25	19-25	2020's demand decline (and why — government supports, rising deposits) correctly described AND 2022's tightening/reversal correctly described AND Ireland's above-average rejection rate and comparatively debt-heavy equity/debt mix both referenced.
13-18	13-18	The general 2020→2022 pattern correctly described, but Ireland-specific detail (rejection rate premium, equity/debt mix) is missing or generic.
7-12	7-12	Vague reference to "tightening credit conditions" without the 2020 vs. 2022 contrast or Ireland-specific detail.
0-6	0-6	No credible description of the financing landscape given.

Challenges across the lifecycle, through Pecking Order and Agency

Theory: both theories point to the same underlying problem — information asymmetry — manifesting differently at different points in an SME's lifecycle.

- **Start-up stage — acute information asymmetry, Pecking Order's equity gap:** a young firm has no track record for lenders or investors to evaluate, and often no collateral (especially IP-heavy or service businesses). Pecking Order Theory predicts firms use internal funds first — but a genuine start-up usually has none, forcing it either toward expensive, hard-to-access external debt or, per the theory's own "last resort" ranking, toward equity it may not want to give up so early.
- **Growth stage — Agency Theory's monitoring and moral hazard costs:** once a lender or investor is involved, Agency Theory's classic principal-agent problem applies — the SME's owner-manager knows more about the true riskiness of the business's growth plans than an outside financier does, creating moral hazard (an incentive to take on riskier growth bets with someone else's money) that lenders price into higher interest rates or tighter covenants, or ration credit rather than price it at all.
- **Later/expansion stage — the same asymmetry, larger stakes:** as the financing need grows large enough to require external capital markets rather than a single bank relationship or investor, the lemon-premium logic from Pecking Order Theory becomes directly relevant — external investors price in a discount for what they can't verify, which is proportionally more costly for a smaller, less-covered SME than for a large, well-followed company.

Mark Allocation — Part (ii) (25 marks)

Tier	Marks	What separates this tier
19-25	19-25	Both Pecking Order and Agency Theory correctly explained AND both applied to distinct, specific stages of an SME's lifecycle, not just defined in the abstract.
13-18	13-18	Both theories named with a correct general mechanism but not tied to specific lifecycle stages.
7-12	7-12	Only one theory correctly explained and applied.

Question B1 Total: 50 Marks

Section B · Question 2

Shadow banking, Section 110, and the Enron case — 50 marks

B2(i)

[25 marks]

According to the Central Statistics Office (CSO, 2022), shadow banking in the Irish national accounts displays a potential value of €2,858bn. Referring to Section 110 of the Irish Taxes Consolidation Act (TCA) 1997, explain: (a) the term shadow banking and (b) why multinational corporations strategically locate in Ireland.

B2(ii)

[25 marks]

With reference to Enron's fraudulent strategy, explain the role of (a) mark to market accounting and (b) Special Purpose Entities'/Special Purpose Vehicle's.

FULL MODEL ANSWER

(i)(a) Shadow banking: the Financial Stability Board defines shadow banking as **credit intermediation involving entities and activities outside the regular, regulated banking system** — non-bank financial intermediaries that borrow or raise funds and lend or invest them onward, performing an economically bank-like function without a banking licence, deposit insurance, or bank-style capital requirements. The CSO's own €2,858bn estimate (using the FSB's "narrow" definition, which strips out insurance, pension funds, and pure holding companies to isolate genuine shadow-banking-type activity) is large specifically because of the concentration of investment funds, Special Purpose Entities, and other financial intermediaries resident in Ireland relative to the size of the domestic economy.

(i)(b) Why multinational corporations strategically locate in Ireland: Section 110 is a direct part of the answer — it lets a multinational's Irish SPV achieve **tax neutrality** on cross-border financing and securitisation activity via profit-participating notes, without an additional layer of Irish tax eroding returns.

- **Low, stable headline tax rate:** Ireland's 12.5% trading rate on top of Section 110's own tax-neutral treatment for qualifying vehicles specifically.

- **EU/eurozone market access and treaty network:** as an EU member state, an Irish structure can access EU capital markets, with an extensive double-taxation treaty network reducing withholding-tax friction on cross-border flows.
- **Common-law legal system, in English:** attractive to the predominantly common-law, English-language world of international structured finance and capital markets documentation.
- **Established professional services ecosystem:** decades of accumulated legal, accounting and corporate administration expertise specifically in structuring Section 110 vehicles, concentrated in Dublin's IFSC.
- **Regulatory and political stability:** a predictable legal and regulatory environment global capital markets participants value for structures that may run for a decade or more.

EXAM TECHNIQUE

The CSO's €2,858bn figure was verified directly against the CSO's own published shadow banking research note, since the exact figure named in the question wasn't reproduced in the uploaded course pack.

Mark Allocation — Part (i) (25 marks)

Tier	Marks	What separates this tier
19-25	19-25	Shadow banking correctly defined as non-bank credit intermediation AND the CSO figure's scale correctly connected to Ireland's SPE/fund concentration AND at least three distinct, correctly-reasoned reasons given for MNC location in Ireland, referencing Section 110 specifically.
13-18	13-18	Shadow banking correctly defined, with at least one or two reasons for MNC location given, but Section 110's specific role is not clearly explained.
7-12	7-12	Vague description of shadow banking without the non-bank credit intermediation mechanism, or generic "low tax" reasoning without Section 110 detail.
0-6	0-6	No credible answer given.

(ii)(a) Mark-to-market accounting's role in Enron's fraud: mark-to-market (MTM) accounting values a position at its current estimated fair value rather than its original cost, recognising unrealised gains or losses immediately. Enron extended this — legitimate for genuinely liquid, actively-traded positions — to **long-term, illiquid contracts** and stakes in SPE partnerships such as the Raptors, where no observable market price existed. Enron used its own internal models and assumptions to estimate fair value, letting it book the entire estimated future value of a multi-year deal as current-period earnings **immediately upon signing**, rather than as cash was actually realised — turning MTM into a mechanism for reporting earnings disconnected from actual cash generation.

(ii)(b) SPEs/SPVs' role in Enron's fraud: Enron CFO Andrew Fastow and his assistant Michael Kopper created a network of off-balance-sheet partnerships that served two purposes: offloading underperforming assets to keep them off Enron's own balance sheet, and generating reported earnings that didn't reflect Enron's actual underlying performance.

- **LJM1 and LJM2:** partnerships controlled by Fastow himself, approved under a waiver of Enron's own code of conduct because Fastow — an Enron officer — was personally on both sides of transactions with the company, purchasing troubled or difficult-to-value assets from Enron and letting Enron book gains while removing the assets from its own books.
- **Chewco:** an off-balance-sheet partnership that should have needed independent

third-party equity of at least 3% of its assets to legitimately stay off Enron's consolidated balance sheet. Enron's own guarantee on Chewco's financing broke that independence requirement, meaning Chewco should have been consolidated onto Enron's balance sheet all along.

- **The Raptors:** SPEs capitalised largely with Enron's own stock, used both to hedge other merchant investments and — via mark-to-market accounting on that Enron-stock-backed equity — to book gains that reversed into unrecognised losses once Enron's own share price fell in 2001.

Mark Allocation — Part (ii) (25 marks)

Tier	Marks	What separates this tier
19-25	19-25	MTM correctly defined AND Enron's specific misapplication (long-term/illiquid contracts, self-generated valuations) correctly explained AND at least two specific, correctly-named SPE examples (LJM1/LJM2, Chewco, the Raptors) discussed with their specific misuse mechanism.
13-18	13-18	MTM correctly explained and one specific SPE example correctly discussed.
7-12	7-12	General reference to "Enron hid debt using MTM and SPEs" without specific, correctly-named examples or mechanisms.
0-6	0-6	No credible or accurate account given.

Question B2 Total: 50 Marks

Section B · Question 3

Real options and strategic M&A: the Volkswagen Group case — 50 marks

B3(i)

[25 marks]

To maximize a firm's value, its managers must match internal capabilities to external opportunities. Flexibility in timing of decisions about the firm's capabilities and opportunities give managers 'real options'. Explain what these real options are and how they are used.

B3(ii)

[25 marks]

Using a case study you are familiar with (for example Volkswagen group) analyse the strategic investment decisions of a firm's merger and acquisition.

FULL MODEL ANSWER

What a real option is: a real option gives management the right, but not the obligation, to take some future action on a physical ("real") investment — expand it, abandon it, delay it, switch its inputs or outputs — as new information arrives over time. The name draws a deliberate analogy to a financial option (the right, not the obligation, to buy or sell a security at a set price): both derive value from **flexibility under uncertainty**, but a real option's underlying asset is a physical capability or opportunity rather than a traded security.

Why real options exist — the capability/opportunity matching logic in the question: a firm's internal capabilities (what it can technically do) and external opportunities (what the market will reward) rarely align perfectly at a single point in time. Committing fully to a plan today, on a single up-front NPV calculation, throws away the value of waiting to see how that alignment develops — a standard NPV calculation implicitly assumes a fixed, unchangeable plan, which understates the value of any investment where management genuinely retains the ability to adapt.

How real options are used — the main types

- **Option to delay/defer:** waiting for more information (about demand, regulation, technology) before committing capital at all — most valuable when uncertainty is high and the cost of being wrong is large relative to the cost of waiting.
- **Option to expand:** the right to scale up an investment beyond its initial size if conditions turn out favourably — e.g. building a facility with spare capacity that is only actually built out if early demand justifies it, capturing upside without committing the extra capital upfront.
- **Option to abandon:** the right to exit a project early — selling assets or discontinuing operations — if it underperforms, capping the downside rather than being locked into a multi-year commitment regardless of how conditions develop.
- **Option to switch:** the right to change inputs or outputs in response to relative price changes — e.g. a production facility that can switch between fuel sources or product lines depending on which is currently most profitable.

How managers actually use this in practice: real options reasoning changes *which* investments look attractive, not just how they're valued after the fact — a project with a modestly negative standalone NPV can still be worth undertaking if it creates valuable follow-on options (a foothold investment that creates the option to expand into a new market later, for instance), which is exactly the logic behind staged, incremental strategic investments rather than single, all-or-nothing commitments — see Q. B3(ii) for a concrete illustration in Volkswagen's own acquisition strategy.

Mark Allocation — Part (i) (25 marks)

Tier	Marks	What separates this tier
19-25	19-25	Real options correctly defined via the flexibility-under-uncertainty analogy to financial options AND at least two specific types correctly explained AND the practical implication (why real options can make a standalone-negative-NPV investment still worthwhile) is explained.
13-18	13-18	Real options correctly defined with at least two types named, but the practical NPV implication is not explained.
7-12	7-12	Only one real option type correctly explained, or "real option" is confused with a financial option contract.
0-6	0-6	No credible explanation given.

Framing — Volkswagen's acquisition strategy as staged option-like

investment: the Volkswagen Group's growth from a single mass-market marque into a twelve-brand conglomerate was executed through a long sequence of discrete acquisitions rather than a single grand plan, closely matching the staged, option-like logic in Part (i) — each acquisition both delivered standalone value and created the option (not the obligation) to pursue further, related acquisitions afterward.

Year	Acquisition	Strategic logic
1986	SEAT (Spain)	First move outside Germany — a foothold into Southern European manufacturing and a new price-point brand
1994	Škoda (Czech Republic)	Entry into Eastern European markets and access to lower-cost manufacturing capacity
1998	Bentley, Lamborghini, Bugatti (from the bankrupt Vickers group)	A single opportunistic window (Vickers' bankruptcy) used to enter the ultra-luxury segment across three brands simultaneously
2008	Scania	Diversification beyond passenger cars into commercial vehicles/heavy trucks
2012	Porsche, MAN, Ducati	Consolidation following the Porsche-VW "long tango" (see below), plus further commercial-vehicle and motorcycle diversification

The Porsche-Volkswagen case specifically — real options in

action: between 2005 and 2008, Porsche pursued a strategy of building up a stake in Volkswagen — larger than Volkswagen's own attempted acquisition of Porsche — partly through equity derivatives that gave Porsche the option-like ability to increase its economic exposure to VW without immediately triggering full disclosure or takeover rules. This nearly succeeded as a reverse takeover of the much larger Volkswagen by the smaller Porsche, but the 2008 global financial crisis triggered a severe short squeeze in VW shares and a liquidity crisis at Porsche itself, reversing the balance of power entirely — Volkswagen ultimately completed a full acquisition of Porsche's automotive business in 2012, the mirror image of what Porsche had originally attempted.

Why this illustrates strategic investment decisions under

uncertainty: the episode is a textbook illustration of how staged, flexible investment positions — gradually building an equity stake with growth optionality rather than committing to a single all-or-nothing acquisition upfront — can dramatically change in value as external conditions shift, for better or worse. Porsche's approach maximised its flexibility and option value in the years leading up to 2008, but that same structure left it critically exposed to a liquidity shock precisely because much of its position was built on leveraged derivatives rather than owned capital — a cautionary complement to Part (i)'s point that flexibility has value, but is not costless or riskless in itself.

EXAM TECHNIQUE

Volkswagen's acquisition dates and the Porsche "long tango" narrative were verified against its well-documented corporate history, since the course pack referenced Volkswagen as an example case without setting out this specific detail. Any comparably well-documented M&A case study you're familiar with — the module's own Microsoft/Activision Blizzard case (see the EC3008 Winter 2024/25 scheme, Q. A4) works equally well here — earns full marks if analysed with the same depth.

Mark Allocation — Part (ii) (25 marks)

Tier	Marks	What separates this tier
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19-25	19-25	A specific, well-documented M&A case correctly analysed AND at least two distinct strategic investment decisions identified within it AND the analysis is explicitly connected to staged/optionality-based strategic reasoning, not just a chronological summary of deals.
13-18	13-18	A specific case correctly described with accurate facts, but the analysis doesn't connect to strategic investment reasoning or real options logic.
7-12	7-12	Case named but described only vaguely, with inaccurate or unsupported claims.
0-6	0-6	No credible case study analysis given.

Question B3 Total: 50 Marks